

Chit Funds (Bihar) Rules, 1987

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State of Bihar - Act

Chit Funds (Bihar) Rules, 1987

BIHAR

India

Chit Funds (Bihar) Rules, 1987

Rule CHIT-FUNDS-BIHAR-RULES-1987 of 1987

Published on 2 October 1987

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Chit Funds (Bihar) Rules, 1987

Published vide Notification No. N.S. 10 (Ch.) 03/82-805-F dated 2nd October, 1987, published in Bihar Gazette (Extraordinary) dated 25.11.1987

No. N.S. 10 (Ch.) 03/82-805-F. - In exercise of the powers conferred by section 89 of the Chit Funds Act, 1982 (Central Act

40 of 1982

), the [Governor of Bihar]

[Insert the name of the State/Union Territory which is making the rules.]

, in consulting with the Reserve Bank of India, hereby makes the following rules:-

Chapter I

Preliminary

1.

Short title and commencement.

- (i) These rules may be called the Chit Funds (Bihar)* Rules, 1987.

(ii)

They shall come into force from the date of publication in the Official Gazette.

2.

Definitions.

- In these rules, unless the context otherwise requires,-

(a)

"Act" means the Chit Funds Act, 1982 (Central Act 40 of 1982

);

(b)

"Appendix" means Appendix-I or as the case may be Appendix-II to these rules;

(c)

"Authorised agent" means a person duly authorised by a power of attorney executed and authenticated in the manner specified in section 33 of the Indian Registration Act, 1908 (Central Act XVI of 1908) or a person authorised by a letter of authorisation specified in Form-XX by the person concerned;

(d)

"Form" means a form in Appendix-I to these Rules;

(e)

"Section" means a section of the Act;

(f)

Words and expressions used in these rules but not defined therein shall have the same meanings respectively assigned to them in the Act.

Chapter II

Registration

3.

Application for obtaining prior sanction for commencement or conduct of chit.

- Every application for obtaining prior sanction of the State Government or the Registrar Chit Fund through the Finance Secretary or any other officer empowered by it in this behalf, for commencement or conduct of a chit shall be made by the foreman in Form-1.

4.

Communication of the refusal to sanction, commencement or conduct of a chit.

- Where sanction for the commencement or conduct of chit is refused the reasons for such refusal shall be recorded in writing and a copy thereof shall be communicated to the applicant.

5.

Application for registration of chit.

(1)

Every application for the registration of a chit to be made by the foreman to the Registrar shall be in Form-II.

(2)

Before refusing such sanction the State Government shall issue a notice to the foreman calling upon him to show cause within a reasonable period to be stipulated in such notice, why sanction be not refused.

(3)

Where the ground for the proposed refusal of such sanction is default in payment of fees or filling of any statement or record required to be paid or filed under the Act, the State Government shall condone the said default, the State Government is satisfied on hearing the foreman that the default has occurred due to reasons beyond the control of the foreman or due to other bona fide reasons provided the foreman has paid the fees or filed the necessary documents on or before the date of such hearing.

6.

Endorsement of registration of a chit.

- The endorsement of registration of a chit agreement to be issued by the Registrar shall be in Form-III.

7.

Registration number of chit.

- Every chit registered under the Act shall be numbered seriously by the Registrar in separate series for each calendar year.

8.

Communication of the refused to register a chit.

(1)

If the Registrar refuses to register a chit he shall record the reasons for such refusal in writing and communicate a copy of the order to the applicant.

(2)

Before refusing registration the Registrar shall issue a notice to the foreman calling upon him to show cause within a reasonable period to be stipulated in such notice why registration be not refused.

(3)

Where the ground for the proposal of refusal of registration is default in payment of fees or filing of any statement or record required to be paid or filed under the Act, the Registrar shall condone the said default. If the Registrar is satisfied on hearing the foreman that the default has occurred due to reasons beyond the control of the foreman or due to other bona fide reasons provided the foreman has paid the fees or filed the necessary documents on or before the date of such hearing.

9.

Application for appropriation of any sum from the reserve funds.

- Every application for obtaining prior approval of the Registrar for appropriation by a company of any sum from the reserve fund shall be in Form-IV.

10.

Declaration to be filed about subscriptions to all tickets of a chit.

- Every declaration to be filed by a foreman after all tickets in a chit specified in the chit agreement have been fully subscribed shall be in Form-V.

11.

Form of certificate of commencement of chit.

- The certificate of commencement of a chit to be granted to the foreman shall be in Form-VI.

12.

Form of certificate about furnishing a copy of the chit agreement to the subscribers of a chit.

- The certificate by the foreman about having furnished a copy of the chit agreement to every subscribers of a chit to be filed with the Registrar shall be in Form-VII.

13.

Form of chit agreement.

- The chit agreement of every chit started under the Act shall, as far as may be, conform to the proforma set forth in Form-VIII.

14.

Registration of alteration, addition or omission of chit agreement.

- No alteration, addition or omission of any provision in the chit agreement shall have effect unless such alteration or addition or as the case may be omission is registered. If the foreman makes any alteration or addition or omission of any provision in the chit agreement, he shall submit such alteration or addition or omission in duplicate to the Registrar duly signed and attested by at least two witnesses alongwith the application form for registration of such alteration or addition or omission as the case may be of the chit agreement.

(2)

An application to register an alteration of or addition to or omission of any provision in the chit agreement shall be dealt with in the same manner as an application for registration of the chit agreement.

15.

Date of effect of alteration or addition or omission of any provision in the chit agreement.

- An attention of or addition to or omission of any provision in the chit agreement shall not take effect from a date earlier

than the date of such registration of the alteration or addition or omission as the case may be unless otherwise ordered by the Registrar:

Provided that the Registrar shall not give effect to the alteration or addition or omission from a date earlier than the date of application for registration of the alteration or addition or omission of any provision of the chit agreement as the case may be.

16.

Form of Notice to chit subscriber.

- Every notice to be given by a foreman to the subscribers in a chit under section 16 shall be in Form-IX. It shall be sent to each subscriber under certificate of posting and shall also be exhibited on the Notice Board of the office of the foreman.

17.

Form of minutes of proceedings.

- The minutes of proceedings of every draw shall in addition to the particulars specified in sub-section (2) of Section 17 contain full particulars of the following points, namely :-

(a)

Particulars of deposit, if any, of the prize amount under sub-section (1) and (2) of Section 22 since the date of the previous draw.

(b)

Particulars of deposit, if any, of money under sub-section (1) of Section 30 and sub-section (4) of Section 33 since the date of the previous draw.

(c)

Amount withdrawn from the approved bank (the name of the bank to be specified) and the purpose for which the amount was withdrawn since the date of the previous draw.

(d)

How the prized subscriber was ascertained according to the terms of the chit agreement and particulars of tickets and the prize amount. If the ascertainment of the prized subscriber related to a fraction of a ticket, particulars in respect of each such fraction shall be entered.

(e)

Full particulars of the commission paid to the foreman and the amount of dividend assigned to each subscriber.

(f)

Names of subscribers or their authorised agents who bids the drawing, their ticket numbers and signatures.

Chapter III

Foreman

18.

Procedure in the case of security given by the foreman.

(1)

In case of cash deposited in an approved bank in the name of the Registrar under clause (1) of sub-section (1) of Section 20 the receipt or the book issued by the approved bank mentioned in the chit agreement shall be delivered to the Registrar.

(2)

In case of Government securities transferred in favour of the Registrar under clause (b) of sub-section (1) of Section 20 the Registrar shall keep them in safe custody under his control in any Government Treasury.

(3)

If the security charged is movable property other than deposit in an approved bank or Government securities the foreman shall make all necessary arrangements for their deposit with the Registrar or with such bank or other agency as may be approved by the Registrar for ensuring that the property deposited is available as security for the proper conduct of a chit.

(4)

In case of trustee securities to be transferred in favour of the Registrar under clause (c) of sub-section (1) of Section 20-

(i)

where the security is other than immovable property the value of the security shall not be less than one and half times

the value of the chit amount; and

(ii)

in respect of security of immovable property, the value of the security shall not be less than two times the value of the chit amount.

(5)

A foreman of chit proposing to give movable (or immovable) property as security for the proper conduct of a chit shall apply to the Registrar in Form X. The application under this sub-rule shall clearly furnish the correct and complete information regarding the property offered as security (in case the property offered is immovable property), the application shall be accompanied by the documents of title to the property and an encumbrance certificate for 30 years relating to the property).

(6)

Where the immovable property offered as security is situated outside the jurisdiction of the Registrar having jurisdiction over the chit, the inspection of the property under the orders of the concerned State Government, be made by the Registrar having jurisdiction over such property, who shall forward a report to the Registrar concerned as to the sufficiency of the security.

(7)

If the security offered is accepted as sufficient by the Registrar, he shall record in writing on the application, a certificate of sufficiency in Form XI and attach a statement of the valuation made.

(8)

If the security offered is not accepted by the Registrar, he shall give the application an endorsement to that effect.

19.

Valuation of chit amount in grain chits.

- In a grain chit for the purpose of security under Section 20 the grain shall be valued by the Registrar as follows:-

(a)

The total quantity of grain due from all subscribers at once instalment of the chit shall be ascertained.

(b)

The market value for the time being of the total quantity referred to in clause (a) shall then be calculated.

(c)

In assessing the market value, the Registrar shall adopt the current market prices at the nearest taluka town ascertained from the Taheshildar having jurisdiction.

(d)

Once and quarter times the market value mentioned in clause (b) shall be taken to be the chit amount for the purpose of furnishing security by the foreman under sub-section (1) of Section 20.

20.

Substitution of security.

(1)

During the currency of a chit, the foreman may apply to the Registrar in Form XII for permission to substitute the security given by him for the proper conduct of the chit by fresh security.

(2)

The Registrar may grant permission after satisfying himself (i) that the request of the foreman for substitution of the security given under Section 20 is for the reasons stated in the application and (ii) that the fresh security offered is adequate.

(3)

The procedure prescribed in Rule 18 shall apply mutatis mutandis to the substituted security given by the foreman under this rule.

21.

Procedure for accepting fresh security.

- (i) The Registrar shall, if so required by the foreman execute and register a deed of release in respect of the original security at the cost of the foreman.

(ii)

If the original security to be returned is, Government securities deposited in a Government Treasury, the Registrar shall

arrange to return the securities offered by the foreman after making endorsement of re-transfer in the pass book (receipt or Government security or other recorded as the case may be post original security at the cost of the foreman.

(iii)

If the original security to be returned is movable property other than Government security, the Registrar shall arrange to return such security by executing such deed or making such endorsement as may be necessary for an effective re-transfer in favour of the foreman.

22.

Application for release of security.

- On termination of the chit, the foreman may apply to the Registrar for the release of the security given by him.

23.

Declaration by foreman.

- The application for release of security under sub-section (5) of Section 20 shall contain a declaration separately signed by the foreman stating that the claims of all the subscribers have been fully satisfied and that all dues payable by the foreman under the Act to the Registrar or any other officer have been fully paid.

24.

Procedure for release of security.

(1)

(a)

The Registrar may, for the purpose of releasing the security under sub-section (5) of Section 20 call upon the foreman to produce a copy duly certified to be a true copy of any register and book of accounts maintained by the foreman and shall exhibit a notice on his office notice board stating that the security is proposed to be released and that any person objecting to such release may file with the Registrar his statement of objections, if any, within fifteen days from the date of exhibition of the notice.

(b)

If no objections are received within the period specified in the notice, the Registrar shall release the security.

(2)

If any objections are received, the Registrar shall enquire into the objections summarily within fourteen days after the date of expiry of the period specified in the notice referred to in sub-rule (1)(a) and record his decision in writing and forward a copy thereof to the foreman and to the objector.

25.

Books of accounts to be maintained by the foreman.

- In addition to the book of minutes of draws mentioned in Section 17 every foreman shall keep the following registers and books of accounts in the forms mentioned against each or in the forms as near thereto as possible:-

(1)

A register of subscribers in Form XIII.

(2)

A ledger in Form XIV.

(3)

A day book in Form XV.

(4)

A receipt book in Form XVI duly certified by the foreman as to the number or pages in duplicate.

(5)

A book containing copies of all notices issued by the foreman to the subscribers.

(6)

A file containing the letters of authorisation of the subscriber for subscribing his name in the chit agreements and for participating in the auction of the chit.

(7)

A file containing the vouchers for payment made by the foreman.

(8)

A file containing documents relating to securities offered by the prized subscribers.

26.

Accounts to be written up promptly.

(1)

Every entry in the register of subscriber the ledger for the day book mentioned in Rule 25 shall be made as and when the particular event occurs.

(2)

On receipt of any money a receipt shall immediately be prepared or cause to be prepared by the foreman in Form XVI and delivered to the payer.

(3)

The foreman shall, at the time of issuing every notice prepare a copy thereof in the book mentioned under clause (5) of Rule 25, certify it to be true copy. and enter therein under his signature, the date of despatch of the notice.

(4)

A voucher duly signed by the recipient shall be obtained by the foreman at the time any payment is made to him and such voucher shall be immediately filed in the file specified in clause (7) of Rule 25 after due verification of all the particulars entered thereon.

(5)

Every document relating to the security given by prized subscribers shall as soon as, it is received, be filed in the file, mentioned in clause (8) of Rule 25. The file shall contain an index for facilitating the scrutiny of the documents.

27.

Filing of vouchers.

- As soon as each payment is made, the foreman shall obtain a voucher from the payee. He shall verify whether the voucher specifies the purpose for which the payment was received and whether it is properly signed by the recipient and preserve it in the file mentioned in clause (7) of Rule 25 after assigning a serial number thereto for each calendar month.

28.

Date for submission of balance-sheet.

(1)

The balance sheet prepared in accordance with the provisions of Section 24 shall be filed with the Registrar within a period of three months from the expiry of the period with reference to which it is prepared.

(2)

Receipts and expenditure account and statement showing the assets and liabilities of the individual chit group will be filed in the Form XXI with the Registrar within a period of two months from the termination of the chit when the duration of the chit does not exceed one year and when the duration of chit it exceeds one year on expiry of every period of twelve months and also on the termination of the chit.

28A.

The rate of interest payable by a defaulting subscriber in pursuance of the proviso to Section 28(1) of the Act shall not exceed twelve per cent per annum.

29.

Audit by a chit auditor.

(1)

If a foreman desires to have the balance-sheet and profit and loss account audited by a auditor appointed under subsection (2) of Section 61, the foreman shall immediately after the preparation of the balance-sheet make an application for such audit to the Registrar within whose jurisdiction the chit is conducted, specifying whether the audit shall be at the premises of the foreman or not. The application shall be accompanied by an amount of fee set out in Appendix II.

(2)

The Registrar shall forward application to the Inspector of chits having jurisdiction who shall cause the balance-sheet and profit and loss account to be audited by the chit auditor as expeditiously as possible, receipt of the application, the Inspector of chits shall forward it to the chit auditor who shall there upon call the foreman to produce the chit records on such date, time and place as he may fix and the foreman shall produce all registers, books of accounts and other records relating to the chit accordingly and furnish such information and give such facilities as may be necessary or required for the proper audit of the balance-sheet and profit and loss account and receipt and expenditure account of individual chit at the time and place fixed by the chit auditor.

(3)

Notice of not less than seven days shall be given to foreman as to the date of audit in the premises of the foreman or for the production of registers, books of account and other records relating to the business as the case may be.

30.

Audit certificate and report of the chit auditor to be in quadruplicate.

- The chit auditor shall prepare, his report and audit certificate in quadruplicate and shall send one copy to the foreman, the second copy to the Registrar, the third copy to the Inspector of chits and keep the remaining copy for his own file.

31.

Time for filing balance-sheets audited by a chit auditor or other auditors.

(1)

Where audit is done by the chit auditor the foreman shall file with the Registrar a copy of the balance-sheet and profit and loss account together with the audit certificate and the auditor's report within one month from the date of the receipt of the audit certificate and audit report from the chit auditor or within three months from the last day of the period covered by the balance-sheet, whichever is earlier.

(2)

In the case of audit by an auditor qualified to act as auditor of companies under the Companies Act, 1956 (Central Act 1 of 1956) the foreman shall file with the Registrar the documents referred to in sub-rule (1) within three months from the expiry of the period with reference to which the balance-sheet is prepared under Section 24 and in the case of individual chit as referred to in sub-rule (2) of rule 28 within a period of two months.

Chapter IV

Winding up of chits

32.

Form of petition for winding up and presentation.

- A winding up of a chit shall contain the following namely:-

(1)

Full name, description, occupation and address of the petitioner.

(2)

Address of his advocate, if any, for the service of all notice, process etc.

(3)

Address of the foreman.

(4)

Particulars of the chit-

(i)

Number and date of registration of the chit agreement;

(ii)

Office where the chit agreement was registered;

(iii)

The chit amount;

(iv)

The total number of tickets;

(v)

The number of non-prized subscriber on the date of the petition;

(vi)

The number of unpaid prized subscribers if any;

(vii)

The number of subscribers and the number of tickets subscribed by each subscriber.

(5)

Facts on which the petitioner relies in support of the petition.

(6)

Particulars relating to the award and execution of other process which has been returned unsatisfied in whole or in part, if the ground of the petition is that execution of their process issued on an order of the Registrar in favour of any

subscriber in respect of the amounts due to him from the foreman was returned unsatisfied in whole or in part.

(7)

Full details to show that the condition prescribed in clause (a) of the proviso to Section 49 is satisfied if the winding up of the chit is applied for under clause (b) of Section 48 and if the said clause (a) applies.

(8)

Whether the previous sanction of the State Government has been obtained, if clause (b) of the proviso to Section 49 applies. (A copy of the relevant order of the State Government shall be attached).

33.

Proposal for collection and distribution of chit assets.

(1)

The Receiver shall as soon as possible settle and submit to the Registrar a statement (hereinafter referred to as the Provisional Statement) showing :-

(a)

The name of subscribers and other persons from whom moneys are due to the chits;

(b)

The names of the subscribers and other persons to whom money are due from the chit;

(c)

Proposal as to how the chit assets are to be collected and applied in the discharge of its liabilities; and

(d)

The amount proposed to be paid to each of the persons specified in clause (b).

(2)

Notice of the preparation of the Provisional Statement accompanied by a copy thereof shall be published and be served on the petitioner, the subscribers and other person mentioned by the Receiver in such manner as the Registrar may direct. If the number of persons on whom notice is to be served is large, the notice may in the discretion of the Registrar, be served on the petitioner only and advertised in one or more daily newspapers. The notice shall specify the date on which objections to the Provisional Statement will be heard and shall call upon any person having such objections :-

(i)

To submit his statement of objections and the grounds therefore supported by an affidavit before the date appointed by the Registrar in this behalf; and

(ii)

To appear in person or by advocate on the date of hearing with all the evidence in support of his objections.

34.

Set-off to be allowed.

- When money is due from the foreman to a subscriber and also from the subscriber to the foreman, the subscriber shall be allowed the benefit of a set-off.

35.

Hearing of objections to the Provisional Statement.

- On the date fixed for the hearing of the objection under sub-rule (2) of rule 33 the Registrar shall enquire into the objections and after considering the evidence if any adduced in support thereof pass orders on the objections and call upon the Receiver to revise, if necessary, the Provisional Statement in accordance with his orders. The Registrar shall fix a date by which such revision is to be made and intimate orally or in writing such date to the persons who have appeared in person or through their advocates on the date of hearing.

36.

Final orders of settlement by Registrar.

(1)

As soon as possible thereafter and at least ten days before the date fixed under rule 35, the Receiver shall submit to the Registrar a fresh list of subscribers or other persons to whom or from whom moneys are due and fresh proposals for the distribution of the available chit assets offer making such further enquiry as may be necessary. The Registrar shall thereupon consider the said list and proposals and approve or modify them in such manner as he consider necessary. The Registrar shall pass final orders accordingly on the date fixed under rule 35 for the collection and distribution of the chit assets. The Registrar may also pass such orders as may be necessary for the distribution of the available chit

assets in case such assets happen to be insufficient to meet the sums which have to be paid to the subscribers.

(2)

The final orders passed by the Registrar under this rule shall be conclusive evidence of the several claims to be met out of the chit assets.

37.

Provision for expenses of winding up.

- In making proposals for the distribution of the chit assets, the receiver shall specify the estimated amount of the cost of winding up including remuneration for the receiver and such other items of expenditure as are incidental to the winding up and such estimated amount shall first be provided for and deducted from the value of the chit assets and the balance amount shall also be proposed for distribution in the Provisional Statement and the fresh list mentioned in rule 36.

38.

Filling of final accounts by Receiver.

(1)

Upon the termination of the proceedings relating to the winding up, the Receiver shall file his final accounts with the Registrar within fifteen days of such final accounts being passed by the Registrar, the balance of money in the hands of the Receiver shall be paid to the Registrar. The Receiver shall also state how the balance amount may be disposed of together with the reasons for his proposals. He shall also deposit with the Registrar all books of accounts and all other records relating to the chit which has been wound up.

(2)

The receiver may thereafter apply to the Registrar for a certificate of discharge from the duties as Receiver and for the vacating of his recognisance bonds entered into by him and the sureties, if any. On receipt of such application, the Registrar may pass orders of such discharge and vacating of the bonds and for the disposal of the final balance of the chit assets, if any.

39.

Final order of winding up by the Registrar.

(1)

After the affairs of a chit have been completely wound up, the Registrar shall make an order recording the fact of such winding up.

(2)

A copy of such order shall be exhibited the notice board of the Registrar.

40.

Disposal of records.

- The books and papers of a chit which has been completely wound up and of the Receiver shall be retained and disposed of in such manner as the Registrar may direct.

41.

Meetings.

- When the number of subscribers is large and the Registrar, whether on application of the Receiver or not at any stage considers that a meeting of all such parties is necessary in order to ascertain their wishes in any matter, the Registrar may pass an order for holding such a meeting. The Registrar may direct the manner in which and the time and place at which the meeting shall be held and the Receiver shall convene and hold the meeting accordingly.

Chapter V

Fees

42.

Table of fees.

- The fee payable to the Registrar for matters specified in Section 62 and Section 63 shall be as set out in Appendix-II and shall be paid in cash.

43.

Receipt for fees.

- The Registrar shall grant receipts for all fees received by him.

44.

Refund of fees.

- The Registrar may refund any fee paid to him in excess of the amount prescribed or any fee that is unearned.

Explanation. - The expression "fee that is unearned" in this rule means fees paid in connection with the registration of the chit agreement, the filling of a document or other service to be performed by the Registrar where such registration or filing is not actually effected or the service is not actually rendered.

Chapter VI

Reference of Dispute

45.

A reference of a dispute under Section 64 shall be made in writing to the Registrar in Form-XVII. Wherever necessary, the Registrar may require the party referring the dispute to him to produce a certified copy of the relevant records on which the dispute is based and such other statement or records as may be required by him, before proceeding with the consideration of such reference.

46.

Registrar's satisfaction regarding existence of a dispute.

- Where any reference of a dispute is made to the Registrar or any matter is brought to his notice, the Registrar shall, on the basis of the reference (if any) made to him in Form-XVII and the relevant records and statement submitted to him records his decisions together with the reasons therefore, whether he is or is not satisfied about the existence of a dispute within the meaning of Section 64. Such recording of decision shall be sufficient proof of the Registrar's satisfaction whether the matter is or is not a dispute as the case may be.

47.

Disposal of a dispute or reference to a nominee.

(1)

Where the Registrar is satisfied that there is a dispute the Registrar may decide the dispute himself or refer it for disposal to his nominee.

(2)

Neither the Registrar nor his nominees shall take up for consideration any dispute, unless the parties concerned comply with the conditions of affixing the court fees specified in Rule 57 for determining the dispute.

48.

Qualification for appointment as Registrar's nominees.

(1)

State Government may by notification in Official Gazette appoint the District Magistrate the senior-most Additional District Magistrate of the district or the Sub-Divisional Magistrate of the sub-Division to Registrar's nominees.

49.

Procedure for hearing and decision of dispute.

(1)

The Registrar or his nominee shall record in the official language in vogue in the State, the evidence of the parties to the dispute and the witnesses who attend, open the evidence so recorded and upon consideration of any documentary evidence produced by the parties, a decision shall be given him in writing. Such decision shall be pronounced in the open court, either at once or as soon as may be practicable on some future day, of which due notice shall be given to the parties.

(2)

Where neither party appears when the dispute is called out for hearing, the Registrar or his nominee may make an order that it be dismissed for default.

(3)

Where the opponent appears and the disputant does not appear when the dispute is called out for hearing, the Registrar or his nominee may make an order that the dispute be dismissed, unless the opponent admits the claim or a part thereof, in which case the Registrar or his nominee, as the case may be, may make an order against the opponent upon such admission, and where, part only of the claims is admitted may dismiss the dispute in so far as it relates to the remainder.

(4)

Where the disputant appears and the opponent does not appear when the dispute is called out for hearing, then if the Registrar or his nominee is satisfied from the record and the proceeding that the summons was duly served, the

Registrar or his nominee may proceed with the dispute ex parte where the summons is served by any officer of the Registrar or his nominee, he shall make his report of service on oath.

(5)

The Registrar or his nominee may not ordinarily grant more than two adjournments to each party to the dispute at his request. The Registrar or his nominee may, however, at his discretion grant such further adjournments on payment of such costs to the other side and such fees to the Registrar or his nominee as the Registrar or his nominee as the case may be, may direct.

(6)

Any party to a dispute may apply for and obtain a certified copy of any order, judgment or award made by the Registrar or his nominee on payment of copying fees at the rate prescribed in Appendix II.

50.

Summons, notice and fixing of dates place etc. in connection with the disputes.

(1)

The Registrar, or as the case may be his nominee, may issue summons or notice at least fifteen days before the date fix the hearing of the dispute requiring-

(i)

the attendance of the parties to the dispute and of witnesses if any, and

(ii)

the production of all books and documents relating to the matter in dispute.

(2)

Summons or notices issued by the Registrar or his nominees may be served through a Mamtadter, Mahalkari, Tahsildar or any employee of the Chit Department or by registered post with acknowledgement due.

(3)

The officer serving a summons or notice shall in all cases in which summons or notice has been served, endorse or annex or cause to be endorsed on or annexed to, the original summons or notice, a return stating the time when and the manner in which the summons or, as the case may be, notice was served and the name and address of the person (if any) identifying the person served and witnessing the delivery or tender of the summons or the notice.

(4)

The official issuing the summons or notice may examine the serving officer on oath or cause his to be so examined by the Mamlatdar or other officer through whom it is served and may make such further inquiry in the matter as he thinks fit, and shall either declare that the summon or, as the case may be, notice has been duly served or order it to be served in such manner as he thinks fit.

(5)

The mode of serving summonses and notice as laid down in sub-rules (1) to (4) shall mutatis mutandis apply to the service of summonses or notice issued by the Registrar or the person authorised by him, when acting under Section 46.

51.

Investigation of claims and objections against any attachment.

- Where any claims or objections has been preferred against the attachment of any property under Section 68 on the ground that such property is not liable to such attachment, Registrar as the case may be, his nominee shall investigate into the claim or objection and dispose it of on merits:

Provided that no such investigation shall be made when the Registrar or his nominee considers that the claims or objection is frivolous.

52.

Procedure for the custody of property attached under Section 68.

(1)

Where the property to be attached is movable property, other than agricultural produce in the possession of the debtor, the attachment shall be made by actual seizure and the attaching officer shall keep the property in his own custody or in the custody of one of his subordinate or of a Receiver, if one is appointed under sub-rule (2) and shall be responsible for the due custody thereof:

Provided that when the property seized is subject to speedy and natural decay or when the expenses of keeping it in custody is likely to exceed its value, the attaching officer may sell it at once.

(2)

Where it appears to the officer ordering conditional attachment under Section 68 to be just and convenient, he may appoint Receiver for the custody of the movable property attached under that Section and his duties and liabilities shall be identical with those of a Receiver appointed under order XL in the First Schedule to the Code of Civil Procedure, 1908.

(3)

(i)

Where the property to be attached is immovable, the attachment shall be made by an order prohibiting the debtor from transferring or charging the property in anyway and all persons from taking any benefit from such transferor charge.

(ii)

The order shall be proclaimed at some place on, or adjacent to, such property by beat of drums or other customary mode, and a copy of the order shall be fixed on a conspicuous part of the property and upon a conspicuous part of village chavdi and where the property is land paying revenue to the State Government and also in the office of the Collector of the district and in the office of the Mamlatdar or Mahalkar or Tahsildar or any other revenue officer within whose jurisdiction the property is situated.

53.

Procedure for attachment and sale of property for realization of any security given by person in course of execution proceedings.

- The procedure laid down in rule 57 and 52 shall mutatis mutandis apply for attachment and sale of property for the realisation of any security given by a person in the course of execution proceedings.

54.

Issue of proclamation prohibiting private transfer of property.

- The Registrar when acting under clause (a) of Section 71 shall, at the time of signing a certificate effecting any property issue a proclamation in Form XVIII and in the case of immovable property shall also forward a copy of the proclamation to the Mamlatdar, Mahalkari or Tahsildar or any other revenue officer within whose jurisdiction the property is situated who shall cause an entry about such certificate to be made in the Record of Rights.

55.

Procedure for executions of awards.

(1)

Every order or award passed by the Registrar or his nominee under Section 68 or 69 shall be forwarded by Registrar to the foreman or to the party concerned with instruction that the foreman or as the case may be the party concerned should initiate execution proceedings forthwith according to the provisions of Section 71.

(2)

If the amount due under the award is not forthwith recovered or the order thereunder is not carried out, it shall be forwarded to the Registrar with an application for execution alongwith all information required by the Registrar for the issue of certificate under Section 71. The applicant shall state whether he desires to execute the award through a Civil Court or through the revenue authorities as provided under Section 71.

(3)

On receipt of such application for execution the Registrar shall forward the same to the proper authority for execution alongwith a certificate issued by him under Section 71 and a proclamation issued under rule 54 in the manner prescribed therein.

(4)

Every order passed in appeal under Section 70 shall also be executed in the manner laid down in sub-rules (2) and (3).

56.

Transfer of property which cannot be sold.

(1)

When, in execution of an order sought to be executed under Section 71, any property cannot be sold for want of buyers, if such property in the possession of the default or of some person on his behalf, or of some person claiming it under a title created by the defaulter subsequent to the issue of the certificate by the Registrar under clause (a) or (b) of the said Section, the officer conducting the execution shall as soon as practicable report the fact to the court or the Collector or the Registrar as the case may be, and the judgment creditor applying for the execution of the said order.

(2)

On receipt of a report under sub-rule (1) the judgment creditor may within six months from the date of the receipt of the report or within such further period as may for sufficient reason be allowed in any particular case by the court or the Collector or the Registrar, submit an application in writing to the court, the Collector or the Registrar, as the case may be, stating whether or not he agrees to take over such property.

(3)

On receipt of an application under sub-rule (2) notices shall be issued to the defaulter and to all person known to be interested in the property, including those whose names appear in the record of rights as persons holding any interest in the property about the intended transfer.

(4)

On receipt of such a notice, deposit with the Court or the Collector or the Registrar for payment to the foreman a sum equal to the amount due under the order sought to be executed together with interest thereon and such additional sum for payment of costs and other incidental expenses as may be determined in this behalf by the Court or the Collector or the Registrar as the case may be the defaulter, or any person owing such property, or holding an interest therein by virtue of a title acquired before the date of the issue of a certificate under Section 71 may, within one month from the date of the receipt of such notice, deposit, with the foreman a sum equal to the amount due under the order sought to be executed together with interest thereon and such additional sum for payment of costs and other incidental expenses as may be determined in this behalf by the Court or the Collector or the Registrar as the case may be.

(5)

On failure of the defaulter, or any person interested, or any person holding any interest in the property to deposit the amount under sub-rule (4) the Court or the Collector or the Registrar, as the case may be shall direct the property to be transferred to the judgment creditor on the condition stated in the certificate in Form XIX.

(6)

The certificate granted under sub-rule (5) shall state whether the property is transferred to the judgment creditor in full or partial satisfaction of the amount due to him from the defaulter.

(7)

If the property is transferred to the judgment creditor in partial satisfaction of the amount due to him from the default the Court or the Collector or the Registrar, as the case may be shall on the production by the judgment creditor of a certificate signed by the Registrar, recover the balance due in the manner laid down in Section 71.

(8)

The transfer of the property under sub-rule (5) shall be effected as follows:-

(i)

In the case of moveable property-

(a)

Where the property is in the possession of the defaulter himself or has been taken possession of or behalf of the court on the Collector or the Registrar, it shall be delivered to the judgment creditor.

(b)

Where the property is in the possession of some person on behalf of a defaulter, the delivery thereof shall be made by giving notice to the person in possession to the directing him to give actual peaceful possession to the judgment creditor and prohibiting him from delivering possession of the property to any other person.

(c)

The property shall be delivered to a person authorised by the party to take possession on behalf of the judgment creditor.

(ii)

In the case of immovable property-

(a)

Where the property is growing or standing crop, it may be delivered to the judgment creditor before it is cut and gathered and the judgment creditor shall be entitled to enter on the land to do all that is necessary for the purpose of ending and cutting and gathering it.

(b)

Where the property is in the possession of the defaulter of some person on his behalf or some person claiming under a

title created by the defaulter subsequent to the issue of certificate under Section 71, the Court or the Collector or Registrar, as the case may be, shall order delivery to be made by putting the judgment creditor or any person whom he may appoint to receive delivery on his behalf in actual possession of the property and if need be, by removing any person who illegally refuses to vacate the same.

(c)

Where the property is in the possession of a tenant or other person entitled to hold the same by a title acquired before the date of issue of a certificate under Section 71 the Court or the Collector or the Registrar as the case may be shall order delivery to be made by affixing a copy of the certificate of transfer of the property to the judgment creditor in some conspicuous place on the property and proclaiming to such person by beat of drum or other customary mode at some convenient place that the interest of the defaulter has been transferred to the judgment creditor.

(9)

The judgment creditor shall be required to pay expenses incidental to sale including the cost of maintenance of live stock, if any, according to such scale as may be fixed by the Registrar from time to time.

(10)

Where land is transferred to the judgment creditor under sub-clause (a) of clause (ii) of sub-rule (8) before the growing or standing crop is cut and gathered the judgment creditor shall be liable to pay the current year's land revenue on the land.

(11)

The judgment creditor shall forthwith report any transfer of property under sub-clause (b) or (c) of clause (ii) of sub-rule (8) to the village accountant for information and entry in the Record of Rights.

(12)

The judgment creditor to whom property is transferred under sub-rule (5) shall maintain for each such defaulter a separate account showing all the expenses incurred including payment to outside encumbrances, land revenue and other dues on the property and all the income derived from it.

(13)

The judgment creditor to whom property is transferred under sub-rule (5) shall use his best endeavour to sell the property as soon as practicable to the best advantage of the foreman as well as that of the defaulter, the first option being always given to the defaulter who originally, owned the property. The sale shall be subject to confirmation by the Registrar. The proceeds of the sale shall be applied to defraying the expenses of the sale and other expenses incurred by the judgment creditor and referred to in such rules 9 and 12 and to the payment of the arrears due by the defaulter under the order in execution and the surplus (if any) shall then be paid to the defaulter.

(14)

Until the property is sold, the judgment creditor to whom the property is transferred under sub-rule (5) shall use his best endeavours to lease it or to make any other use that can be made of it so as to derive the largest possible income from the property.

(15)

When the judgment creditor to whom property is transferred under sub-rule (5) has realised all his dues under the order in execution of which the property was transferred, from the proceeds of management of the property, the property, if unsold shall be restored to the defaulter.

57.

Payment of fees for decisions of disputes.

(1)

The Registrar or his nominees, as the case may be take a dispute on file only if the application regarding reference for such dispute in Form XVII is affixed with court fee stamp at the following scales, namely:-

Proper court fee

Rs.

(i)

Simple money claims-

(a)

When the amount of the claim in dispute does not exceed Rs.

1,000.

25.00

(b)

When such amount exceeds Rs. 1,000, but does not exceed Rs.

5,000.

50.00

(c)

When such amount exceeds Rs. 5,000

75.00

(ii)

Complicated money claims-

(a)

When the amount of the claim in dispute does not exceed Rs.

1,000.

50.00

(b)

When such amount exceeds Rs. 1,000 but does not exceed Rs.

5,000.

75.00

(c)

When such amount exceeds Rs. 5,000.

100.00

(iii)

All other disputes

100.00

Explanation. - (1) For the purposes of this sub-rule, "simple money claim" means the claims of a foreman whose business consists of conducting chits including disbursement of prize amounts based on loan bonds, promissory notes, admissions or acknowledgement and complicated money claims means all money claims other simple money claims. The question regarding the classification of a dispute for the purposes of this sub-rule shall be decided by the Registrar or his nominee deciding the dispute and the decision of the Registrar or his nominee as the case may be, shall be final.

(2)

The document of any of the kinds specified below shall filed before the Registrar or his nominee unless it is affixed with the proper court fee stamp as specified against it:-

Proper court fee

Rs.

(i)

Vakalatnama

2.00

(ii)

Application for adjournment

10.00

(iii)

Application for interim stay or relief

25.00

3. (a) The Registrar or his nominee deciding any dispute may require the party or parties to the dispute to deposit such sum as may, in his opinion be necessary to meet the expenses including payment of fees to the Registrar or his nominee as the case may be.

(b)

The Registrar or his nominee shall have power to order the fees and expenses of determining the dispute to be paid by the foreman out of his funds or by such party, or parties to the dispute, as he may think fit, according to the scale laid down by the Registrar, after taking into account the amount deposited as above.

(c)

The Registrar may by general or special order specify the scale of fees and expenses to be paid him or his nominee.

Chapter VII

Miscellaneous

58.

Appeal to be in writing.

(1)

An appeal under Section 70 or subsections (1) and (2) of Section 74 shall be either presented in person or sent by registered post to the State Government or the Member of Board of Revenue or to the such officer or authority (hereinafter refers as the appellate authority) as may be empowered by notification in the Official Gazette by the State Government in that behalf.

(2)

The appeal shall be in the form of a memorandum which shall be affixed with court fee stamp of Rs. 150.00.

(3)

Every appeal shall-

(a)

specify the name and address of the appellant as well as the respondent;

(b)

state by whom the order appealed against was made;

(c)

set forth concisely under distinct heads the grounds of objections to the order appealed against with a memorandum of evidence;

(d)

state precisely the relief which the appellant claims; and

(e)

give the date of the order appealed against.

59.

Hearing and disposal of the appeal.

(1)

On receipt of the appeal, the appellant authority shall, as soon as possible examine of and ensure that-

(a)

the appeal memorandum is affixed with court fee stamps of the value specified in rule 58(2);

(b)

the person presenting the appeal has the locus standi to do so;

(c)

it is made within the specified time limit; and

(d)

it conforms to all the provisions of the Act and those rules.

(2)

In the proceedings before the appellate authority the appellant and the respondent may be represented by an agent holding a power of attorney or by a legal practitioner.

(3)

The appellate authority, on the basis of the enquiry conducted and with reference to the records examined pass such order on appeal as may seem just and reasonable.

(4)

Every order of the appellate authority under sub-rule 3.

(5)

Shall be in writing and it shall be communicated to the parties concerned and the Registrar.

60.

Period of retention of records by the Registrar.

- The records of a chit including registers and books of account shall be preserved in the office of the Registrar for 8 years (a) from the release of the security in the case of chits which are terminated; and (b) from the date when the

affairs of the chit are completely wound up in cases dealt within Chapter-X of the Act and if orders passed under that chapter are appealable from the date of disposal of the appeal.

61.

Register of records kept.

- Every Registrar shall keep a separate register in which shall be entered particulars of all records relating to chits registered in his office.

62.

Compounding of offences arising under the Act.

(1)

Any officer empowered by the State Government shall issue a show-cause notice before taking any action under Section 76 or 77 of the Act against any person who has committed or reasonably suspected to have committed any offence under the Act, or rule made thereunder asking him to show cause within a period of fifteen days, why action under the said Section 76 or as the case may be under Section 77 of the Act should not be taken against him.

(2)

Notwithstanding anything contained in the said provision-

(i)

any officer empowered by the State Government compound the offence committed under the Act or reasonably suspected to have committed any offence under the Act and Rules made thereunder may compound the said offence committed by any person, either before or after the institution of the criminal proceedings under the Act, provided that the said proposal to compound the offence is accepted by any officer authorised by the State Government.

(ii)

On an approval of the said proposal by the officer empowered to approve such a proposal referred above the officer empowered to compound the offence shall send an intimation in writing in that behalf to that person specifying therein-

(a)

a sum determined by way of composition.

(b)

the date on or before which the sum shall be paid.

Note - It will be observed that while Section 81 of the Chit Funds Act, 1982 merely empowers the State Government/Union Territories to specified the conditions subject to which offence may be compounded. The provisions in sub-rule (1) of Rule-62 of the draft model Rules forwarded to the State Government Administration earlier goes a step further and specified the offences which are compoundable. In other words, offence of a serious type such as those mentioned in Section 76(1) and offences committed for the second time vide Section 77 of the Act, are not compoundable. A doubt had therefore arisen whether, in the circumstances, the provision in sub-rule (1) of Rule 62 of the model Rules might be struck down as ultra vires the provision in section 81 of the Act with a view therefore, to remove doubts, if any in this regard a redraft of a Rule 62 as above has been suggested. However the spirit under which new legislation was enacted is that offences under sub-section (1) of Section 76 and offence committed for the second time vide Section 77 should not be compoundable. The State Government/Administration may therefore please issue suitable administrative instructions to the officials empowered under the aforesaid new Rule 62 not to agree to compounding of these offences after the proposed Rules are brought into force.

Appendix-I

Form I

[See Section 4(2) and Rule (3)]

Form of application to be used by a foreman for obtaining prior sanction to commence and conduct a chit.

Place :

Date :

From:-

.....

To,

The Secretary to the Government of.....

Or

(The Authorised officer by designation)

Sir,

I.....son/wife/daughter of.....(here state profession or occupation) residing at...../we the Chairman and Secretary respectively on behalf of (name of the firm, company, co-operative society, etc.) situated at.....having its registered office at.....desire to commence and conduct a chit as foreman at.....(here specify the place with postal address in details). Full particulars in this regards are given in the Annexure hereto.

2. A certified true copy of the resolution passed by the Managing Committee/Board of Directors at its meeting held on the.....for commencing and conducting the chit in question is enclosed.

3. I/We remit herewith a sum of Rs.....(Rupees in words).....only, being the fees prescribed for the purpose.

4. I/We hereby certify that the aggregate chit amount of the chits run by me/us in Rs.....(Rupees.....) on the date of this application and does not exceed the aggregate chit amount prescribed by section 13 of the Chit Funds Act, 1982 (Central Act

40 of 1982

).

5. I/We request you to accord your sanction for commencing and conducting the chit. On receipt of such sanction further steps for registration etc. of the chit will be taken.

Yours faithfully Chairman Secretary * for or on behalf of

Ends.: sheets.

Strike out or delete whatever is not applicable.

* Insert the designation as may be appropriate to the applicant.

@ Here enter the name of the applicant institution, if any.

Annexure

Statement of particulars

1. Name and address of the company/association of individuals/co-operative society/partnership/sole proprietorship (addresses of the registered as well as the head office/administrative office if any should be given.

2. Constitution i.e. whether incorporated as company/co-operative society or registered/unregistered association of individuals/partnership/sole proprietorship (also specify the provision of the Act under which incorporated/registered alongwith the date of incorporation/registration).

3. Names and address of the branch offices, if any.

4. Main objects of the institution (enclose a copy of memorandum and articles of association or as the case may be of the Bye-laws or Rules regulating the activities of the institution).

5. Name, occupation and residential addresses of the Directors or as the case may be, of the promoters/members of the Committee of management/partners, etc.

6. Name and residential address of the Chief Executive Officer and two other officers immediately next to him in the managerial set-up.

7. Name of the bankers and their addresses.

8. Name of the auditors and their addresses.

9. Particulars of the chit(s) to be started (such as the chit amount) duration of the chit, frequency of the draws, manner of draws, etc. also attach a copy of the draft of the chit agreement to be entered into with subscribers.)

10. Places where the chit schemes are proposed to be conducted.

11. Names and addresses of the associate companies/co-operative societies/associations of individual/partnership/sole proprietorships.

12. Name, occupation and residential address of the Directors or as the case may be, of the promoters/members of the Committee of management, etc., of the institution(s) referred to in item 11.

I/We solemnly declare that the facts stated herein as also in the enclosures are true to best of my/our knowledge, information and belief.

Dated this.....day of 19 at.....

Name(s)

Designation(s)

Signature(s)

for and on behalf of *

* Here enter the name of the applicant institution, if any.

Strike out whatever is not applicable.

Note. - (i) If the space against any item is inadequate for furnishing full particulars, the required information should be given in separate sheets indicating the cross reference against the relative item of this statement.

(ii)

A copy each of the latest available audited balance-sheet and profit and loss account, if any, should be attached.

Form II

Application for registration of the Chit Agreement

(See Section 7 and Rule 5)

Place :

Date :

To,

The Registrar of Chits,.....

Dear Sir,

1. (a) I.....son of Shri.....being the foreman conducting chit under the name and style of*
.....at.....Of.....

(b)

We..... the Chairman and Secretary respectively of the foreman conducting chit businesses under the name and style of *.....at.....hereby apply for registration of the chit agreement.

2. The chit agreement in duplicate is attached herewith together with a sum of Rs.....being the registration fees as required under the Chit Funds Rule 1987

3. The number of current chits which are running as on the date of this application is and the aggregate chit amount of these chits involved therein is Rs which is within the limits specified in Section 13 of the Chit Funds Act, 1982 (Central Act

40 of 1982

).

4. A certified true copy of the sanction obtained under section 4 of the above Act for commencement and conduct of the chit in question is enclosed. A copy of the application dated the together with its enclosures made to the State Government's Authorised Officer in this behalf is also enclosed for information and ready reference.

5. I/We remit herewith a sum of Rs (Rupees in words) being the fee prescribed for the purpose.

Declaration

6. I/We have read the Chit Funds Act, 1982 (Central Act

No. 40 of 1982

) and the Rules made by State Government thereunder and I/We declare that the chit agreement has been drawn up in conformity with the provisions of the said Act and the Rules.

The above statements are true and complete to the best of my/our knowledge, information and "belief.

Yours faithfully, Chairman Secretary Name(s) Designation(s) *for and on
behalf of (Foreman)

Note. - (i) *Here enter the name of the applicant institution, if any.

(ii)

Strike out or delete whatever is not applicable. Insert the designation(s) as may be appropriate to the applicant.

Form III

Endorsement of Registration

[See Section 7(2) and Rule 6]

I hereby certify that the chit agreement relating to the chit proposed to be conducted by (the name and address of the foreman should be filled in here) as a foreman has this day of 19 been registered by me under sub-section (2) of Section 7 of the Chit Funds Act, 1982 (Central Act

40 of 1982

) as chit no.....of 19.....

Given under my hand and seal this.....day of.....19.....at

(Seal)

Signature of Registrar

Form IV

[See Section 8(4) and Rule 9]

Place:

Date:

The Registrar of Chits,.....

Dear Sir,

In terms of sub-section (4) of Section 8 of the Chit Funds Act, 1982 (Central Act 40 of 1982

) we hereby seek your approval for appropriating a sum ofRs.....(Rupees in words).....by withdrawal from the Reserve Fund of the company. This withdrawal has been necessitated by the following circumstances.
(here state the circumstances under which withdrawal from the Reserve Fund has become necessary).

2. We enclose for your information a copy each of the profit and loss account and the balance-sheet for the last two accounting years as also a proforma of the balance-sheet and profit and loss account for the current year ended.....19.....A true copy of the resolution passed by the Managing Committee/Board of Directors on the for appropriation of the said sum from the Reserve Fund is also enclosed, we shall be glad to furnish such further information as may be required by you.

3. We remit herewith a sum of Rs.....(Rupees.....) being the fees prescribed for the purpose.

4. We shall be glad if you will kindly grant us permission to withdraw a sum of from the Reserve Fund.

Yours faithfully, Chairman Secretary *for and on behalf of (Foreman/Company)

* Here enter the name of the applicant/company.

Form V

[See Section 9(1) and Rule 10]

Place :

Date :

The Registrar of Chits,.....

Dear Sir,

By your letter dated the.....you were pleased to grant me/us a certificate of registration to start a new chit of a chit amount of Rs.....and of a duration.....months.

2. I/We have subsequently enlisted the required number of members and we hereby declare in terms of sub-section (1) of Section 9 of the Chit Funds Act, 1982 (Central Act

No. 40 of 1982

) that all the tickets specified in the chit agreement have been fully subscribed.

3. I/We remit herewith a sum of Rs.....(Rupees in words).....being the fees prescribed for the purpose filling this declaration.

Yours faithfully, Chairman Secretary for and on behalf of (Foreman)

Strike out or delete whatever is not applicable. Insert such designation(s) as may be appropriate to the applicant.

Form VI

[See Section 9(2) and Rule 11]

Certificate of commencement of chit

Place :

Date :

Office of the Registrar of Chits,.....

I hereby certify that is entitled to commence and conduct the chit *..... the chit agreement in respect of which was registered in my office as chit no of.....19.....

Given under my hand and seal, this.....day of.....19.....at.....

Seal

Signature of Registrar

* Here enter the name of the foreman.

* Here mention the chit amount and duration etc. of the chit(s).

Form VII

[See Section 10(2) and Rule 12]

The Registrar, Dear Sir,
The Chit Funds Act, 1982
(Central Act
40 of 1982
)

I/We.....the Foreman of the Chit/Chairman and Secretary on behalf of the foreman firm/company conducting the chit, the chit agreement bearing registration number.....of.....19....has been registered in the office of the Registrar of chits.....do hereby certify that I/We have furnished to every subscriber of the chit a copy of the said chit agreement duly certified by me/us to be a true copy. The copies were furnished to each of the subscribers on.....

The date of obtaining the certificate of commencement of the paid chit granted under sub-section (2) of Section 9 is.....

Place :

Date :

The first draw of the said chit was held on.....

Yours faithfully, Chairman Secretary for on behalf of (Foreman)

Strike out/delete whatever is not applicable.

Insert the designation(s) as may be appropriate to the applicant.

Form-VIII

(See Section 6 and Rule 13)

Form of Chit Agreement

(Articles of agreement between the foreman and the subscribers)

(1)

Office where the chit is registered

(2)

Year and registered no. Year. No.

(3)

Full name and address of foreman

(4)

Occupation (if applicable)

(5)

Age (-do-)

I. Chit amount and number of tickets.

(1) No. of tickets or fraction thereof held by each subscriber.

Full $\frac{3}{4}$ $\frac{1}{2}$ $\frac{1}{4}$?

(2) No. of instalments and amount payable for each ticket at every instalment.

No.

(3) Chit amount

Amount.Rs.

II. Duration of the chit

(1)

Date of 1st instalment.

(2)

Dates of subsequent instalments.

(3)

No. of instalments per year.

(4)

Date of termination.

(5)

Duration of the chit Months Years.

III. The place, time and probable date when the chit is to be commenced-

(1)

Place (give full particulars)

(2)

Probable date

(3)

Time of commencement of the proceedings.

IV. Particulars of security given or deposited by foreman. - (1) Under Section 20 of the Act, the following security sufficient to the satisfaction of the Registrar of chits, the particulars of which are described below, has been given for the proper conduct of the chit (here enter description of security) such as each/Government security (immovable property) etc. (in case immovable property has been charged its particulars such as its description/location/market value etc. should be given).

(2)

No. and date of the certificate of Registrar of chit regarding the sufficiency of security, if obtained.

(3)

The foreman shall not get release of the security in full until all the liabilities under the chit are discharged.

V. Mode of conducting the chit. - (1) The subscriber who is to get the prize at any instalment shall be determined by lot or by auction at the time and place specified in Article-III (Here specify the smallest fraction of a ticket the prize for which will be determined by lot or by auction, and the time allowed for cash purpose).

(2)

Where the prize is to be determined by auction, a ticket or fraction thereof shall be auctioned for a sum not less than the chit amount minus foreman's commission, and the subscriber who bids for the highest discount not exceeding 30 per cent of the total amount of the chit shall be entitled to have it confirmed in his name.

Note. - Where a fraction of a ticket is auctioned the subscriber who bids it for the highest discount is entitled to have confirmed in his name at the same rate as may such fraction as he wished to bid.

(3)

In cases where the subscribers are not prepared to bid any ticket or fraction thereof or where the discount is not sufficient to meet the foreman commission, the subscriber who is entitled to the prize amount shall be determined by lot. The subscriber so determined shall be deemed to be the prized subscriber who shall be entitled to the amount for his ticket less foreman's commission for that ticket.

(4)

A defaulter subscriber shall not be entitled to take part in the proceeding.

(5)

If for any reason the subscriber is unable to take part in the proceedings, he may in writing authorised an agent in that behalf. Such agent shall have all the rights and privilege of a subscriber at such proceedings.

VI. Mode of payment of each instalment. - (1) Every subscriber shall on the date of each instalment pay to the foreman the amount due for his ticket for cash such instalment and get a receipt in that behalf from the foreman.

(2)

In the case of a prized subscriber, if the amount due from him for a particular instalment is not paid on the date of that instalment, it shall be paid within.....(here mention weeks or months) with interest at.....(here specify the rate) failing which it shall be competent to the foreman to realise from the.....defaulter in a lump all the future subscriptions due from him together with the interest due thereon and other incidental expenses.

(3)

In the case of a non-prized subscriber, if the amount due from him for a particular instalment is not paid on the date of that instalment, it shall be paid within.....(here mention weeks or months) with interest at....(here specify the rate) failing which it shall be open to the foreman to remove him from the list of subscribers and have another person substituted for such defaulter subscriber. The foreman shall duly inform the defaulter the defaulter subscriber of the action taken against him.

Note. - Under clauses (2) and (3) the period within which the amount shall be paid and the rate at which interest due thereon shall be paid may be such as shall not be inconsistent with the provisions of the Act or any law for the time being in force.

(4)

A non-prized defaulting subscriber shall be entitled to the amount paid by him and the discount due to him on his executing an acknowledgement in writing at the time the substituted subscriber draws the prize amount. If the defaulter subscriber fails to obtain the amount due to him, the foreman shall deposit the same in the approved bank. If the foreman fails to pay such subscriber, the amount so due to him on the due date, it shall be competent for such subscriber to realise such amount with interest permissible under the law for the time being in force.

VII. Procedure for receiving the prize amount by a prized subscriber. - (1) A prized subscriber or his nominee shall receive from the foreman the prize amount within....(here specify the period) after furnishing to the satisfaction of the foreman sufficient security for the payment of future subscriptions.

(2)

In case the prized subscriber or his nominee fails to receive the prize amount after furnishing sufficient security, the foreman shall deposit the amount in the approved bank and inform the prized subscriber of that fact.

(3)

In case the amount so deposited is not sufficient for the payment of future subscriptions, it shall be competent to the foreman to realise from such prized subscriber such amount as may be deficient together with the interest due thereon and all other incidental charges.

(4)

In case there remains any portion of the amount deposited after paying the future subscriptions and other charges such portion shall be payable by the foreman to the prized subscriber after the termination of the chit, failing which it shall be competent to the prized subscriber or nominee to realise from the foreman such portion as remains together with the interest due thereon from the date of termination of the chit.

(5)

If at any time after the prize amount is deposited in an approved bank, the prized subscriber or his nominee furnishes sufficient securities, the foreman shall withdraw the amount so deposited and pay it to the prized subscriber or his nominee after deducting therefrom the amount due from him for the payment of the instalments prior to the date on which the security is furnished.

(6)

If the foreman fails to pay the prize amount to the prized subscriber or his nominee furnishing sufficient security it shall be competent to such subscriber or nominee to realise from the foreman the prize amount together with the interest due thereon from the date of furnishing such security.

VIII. Disbursement of discount. - The discount for every ticket auctioned shall be distributed equally between the prized and non-prized subscribers after deducting therefrom the foreman's commission.

IX. Foreman's commission and the instalment at which the foreman is to get the prize. - (1) (Here specify the date and number of instalment at which the foreman is to get the prize) first and the last instalment not being subject to auction the subscribers shall be liable to pay the full amount of their tickets.

(2)

.....(Here specify the rate of per cent foreman's commission and the total amount of commission chargeable on the chit amount).

Note. - Any other amount agreed to by the subscribers for any other purpose may also be specified here.

X. Transfer how to be effected. - (1) It shall not be competent to any subscriber to transfer his rights in a chit except with the consent in writing of the foreman provided that no such consent shall be necessary in the case of transfer by a subscriber whose name has been removed by the foreman from the list of subscriber for default of payment of subscription. The transferee (whether he is already a subscriber or not) shall be entitled to no more rights than the transferer had in the chit in respect of the ticket or fraction thereof is transferred.

(2)

No transfer of the rights a foreman to receive subscriptions from the prized subscribers shall be made without the previous sanction in writing of the Registrar of Chits. Any such transfer shall, if it defeat or delays a non-prized subscriber, be avoidable at the instance of such subscriber.

XI. Balance-sheet and subscriber's right to examine chit records. - (1) On termination of a chit, the foreman shall prepare balance-sheet containing a summary of the assets and liabilities of the chit and giving such particulars as will disclose the nature of the assets and liabilities and how the value of the assets has been arrived at. Such balance-sheet shall be made available for auditing by the auditors specified in rule 29 and a certificate of such auditing shall be received by the

foreman and kept by him.

(2)

The foreman shall make available for examination by the subscribers all the chit records between (here specify the time) on all the dates of the draw.

XII. Banks where chit money may be deposited. -(Here specify the name of the approved bank(s) the foreman proposed to deposit chit money).

XIII. Miscellaneous. - (1) The subscriber who gets his prize at the last instalment shall be entitled to the chit amount less the foreman's commission. The foreman shall pay up such amount within.....(here specify the period) after the date of termination of the chit failing which the prized subscriber shall be competent to realise the amount from the foreman together with the interest due thereon from the date aforesaid.

(2)

Any amount due to the foreman from any subscriber on account of the chit shall be a first charge on the subscriptions paid by such subscriber. Similarly, the security and all chit moneys deposited by the foreman shall be liable for discharging any amount due from the foreman to the subscribers.

(3)

Receipts shall be granted for all payments by the foreman to the subscribers or by the subscribers to the foreman.

(4)

The chit amount shall in no case be enhanced, but if necessary, it may be reduced.

(5)

The foreman shall convene a meeting on the requisition in writing of not less than 25 per cent of the number of non-prized and unpaid prized subscribers for making any alteration in the chit agreement not inconsistent with the provisions of the Act and the Rules made thereunder.

(6)

If for any default of the foreman, the conduct of the chit is not continued, the foreman shall pay to the non-prized subscribers their contributions including discount within (here specifying the period) failing which it shall be competent to such subscribers to realise the amount together with the interest due thereon from the foreman or from all or any of the following assets :-

(a)

the security given or deposited by the foreman.

(b)

other properties belonging to the foreman.

(c)

the further subscriptions due to the foreman from the prized subscribers.

(7)

In case where the foreman holds tickets as an ordinary subscriber in addition to the ticket of which he is entitled to the prize without deduction of the discount he shall not have any more rights or privileges than the other subscribers have in the chit. When the foreman bids such tickets he shall furnish sufficient security for the payment of future subscriptions as required by the Act and the Rules made thereunder.

(8)

If before the termination of the chit, the foreman dies or otherwise becomes unable to conduct the chit-

(i)

Here specify the arrangements made for the conduct of the chit.

(ii)

In such a case anyone or more of the non-prized subscribers authorised by a special resolution may, in the absence of any provision in this chit agreement for the future conduct of the chit take the place of the foreman and have the right to continue the chit or to make suitable arrangements for the future conduct of the chit.

(9)

Here specify any other provisions that may be agreed to such as payment of interest or penalty, if any, payable or any default in the payment of stipulated instalments, etc.

(10)

The subscribers who have affixed their signatures hereunder agreed to, the above articles.

Serial Number

Name and full address of subscriber

No. of tickets taken

Subscriber's Signature and date

Name, Signature and address of witness

1.

Foreman

2.

3.

4.

5.

etc.

Form IX

(See Section 16 and Rule 16)

Notice to subscriber of chit number.....of 19.....

Sir,

This is to inform you that the.....draw in monthly/quarterly/half-yearly/yearly chit no...../19.....in which you are one of the subscriber will be held on.....day (month), 198.....at.....A.M./P.M. at.....(address).....

You may kindly make it convenient to be present at the draw in person or by you duly authorised agent.

Yours faithfully, Secretary *for and on behalf of (foreman)

* Strike out or delete whatever is not applicable insert such designation(s) as may be appropriate.

Form X

(See Section 20 and Rule 18)

Application for permission to furnish security for conducting the chit

To,

The Registrar of Chits,.....

Dear Sir,

I/We propose to give the under-noted security in respect of the chit proposed to be started by me/us, the certificate for commencement of which was granted by you on (vide no.....dated.....) other particulars are also given below :-

(1)

Name and address of the applicant.

(2)

Age and occupation.

(3)

Chit amount.

(4)

Details of cash/Government security/any other movable security offered as security.

(5)

Details of immovable properties offered as security.

District.....Taluka.....Village.....S.

No.....Area.....etc.....(2) do do

(6)

Rights of the applicant over the property.

(7)

Market value of the property.

(8)

Details of prior encumbrances, if any, on the property.

(9)

Movable (and immovable) properties belonging solely to the applicant (to be shown separately).

(10)

Whether the applicant has any debt and if so, the amount of such debt.

(11)

Whether the applicant has conducted any chit before and if whether there is any subsisting liability under the same.

I am/we are appending herewith:-

(1)

title deeds in support of title to the property offered as security; and

(2)

the encumbrance certificate of the property for the past 30 years.

The information and particulars furnished herein are true and correct to the best of my/our knowledge, information and belief.

Yours faithfully, Chairman, Secretary Signature(s) *for and on behalf of.....

Place :

Date :

Details of decision

Seal

Signature of Registrar of Chits

Note. - (1) Applicable only when the security offered is immovable property.

(2)

Strike out/delete whatever is not applicable. Insert the designation as may be appropriate to the applicant.

Form XI

(See Rule 18)

Certificate of sufficiency of security

Office of the Registrar of Chits

.....

Place :

Date :

I hereby certify that I am satisfied that the amount/Government security/other security (to be specified) mention herein and deposited in an approved bank/transferred in my name is adequate and that the same can be accepted under Section 20 of the Chit Funds Act, 1982 (Central Act

No. 40 of 1982

).

Seal

Signature of Registrar of Chits

2. Security of immovable property.

I hereby certify that the valuation of the properties as given in the application dated.....filed by the foreman/subscriber-foreman is correct, and that it can be accepted under section 20 of the Chit Funds Act, 1982.

Seal

Signature of Registrar of Chits

Note. - Strike out/delete whatever is not applicable.

Form No. XII

[See Section 20(3) and Rule 20]

Application for the substitution of the security

Place :

Date :

To,

The Registrar of Chits,.....

Dear Sir,

I/We propose to give the under-noted security in substitution of the original security for proper conduct of the chit the commencement of which a certificate had been granted by you. (vide no.....dated.....) certain other particulars are also give below:-

(1)

Name of Foreman.

(2)

Age and occupation if the foreman is not a firm or a company.

(3)

The office in which the chit agreement of the chit has been registered and the number and year of registration.

(4)

Chit amount.

(5)

Details of the original security given.

(6)

Details of all movable (and immovable) properties belonging solely to the applicant.

(7)

Whether the applicant has any debt and if so the amount of any such debt and to whom they are due.

(8)

Details of Government security/other securities offered as substituted security.

I/We hereby declare that the information and particulars furnished herein are true and correct to the best of my/our knowledge, information and belief.

Yours faithfully, Chairman Secretary Signature for on behalf of.....

Seal

Decision of Registrar of Chits

Signature of Registrar of Chits

Note. - Strike out/delete whatever is not applicable.

Insert the designation as may be appropriate to the applicant.

Form XIII

[See Section 23 and Rule 25]

Form of Register of subscribers to be maintained

Office where the chit agreement of the chit is registered.....

The Registration number and year of registration of chit.....

Agreement of the chit.....

Serial number according to chit agreement

Name and full address of the Subscriber

Date of Signing the chit agreement

Date of receipt of the copy of the chit agreement

by the Subscriber

Chit Subscriber

Number of Ticket

Amount

1

2

3

4

5

6

Rs.

Assignment

Name and address of the assignee

Date of assignment

Name and fraction of assignment

Amount

Date of which the foreman recognised the assignment

Reason for the removal of Subscriber

7

8

9

10

11

12

Rs.

Substitution

Date of Removal

Name and address of the Substituted Subscriber.

Date of substitution.

Number and fraction of ticket

Amount

Date of intimation of the Substitution to the
removal subscriber

Remarks

13

14

15

16

17

18

19

Rs.

Form XIV

[See Section 23 and Rule 25]

Form of the Ledger to be maintained

Office where the chit agreement of the chit is registered.....

Registration number of the chit agreement.....

Section I - Receipts and payment in respect of subscriber.....

Number of subscriber.....

Name of subscriber.....

Number of tickets taken.....

Chit amount. Rs.

Ledger

Date

No. of instalment

On what account received or paid by the Foreman

Amount of subscription for each instalment

Divided due to the Subscriber for each instalment

1

2

3

4

5

Rs.

Rs.

Amount paid by subscriber

Amount received back by subscriber

General number in the day book

Signature of the

Remarks

Share amount

Interest

Subscriber

Foreman

6

7

8

9

10

11

12

Rs.

Rs.

Rs.

Section II - Deposit and withdrawal account of the Foreman.....

Name of the bank in which money is deposited.....

Date

For what purpose deposited or withdrawn

Amount deposited

Interest Accruing

Balance after each transaction

1

2

3

4

5

Rs.

Rs.

Rs.

Amount withdrawn

Balance

Number in the day book

Signature of the foreman

Remarks

6

7

8

9

10

Rs.

Rs.

Form XV

[See Section 23 and Rule 25]

Form of the day book to be maintained

Office where the chit agreement of the chit is registered.....

Registration number of the chit agreement.....

Day Book

Receipts

Date

General number

On what account received or paid

Subscriptions

Interest

Withdrawal from bank

Other items

Total receipts

1

2

3

4

5

6

7

8

Expenditure

Referred to receipt in the receipt book

Amount paid to subscriber

Foreman's commissions

Deposit in the bank

Other items

Total expenditure

9

10

11

12

13

14

Balance

References to the page number of the voucher in
the file of vouchers

Signature of foreman

Remarks

15

16

17

18

Note. - (1) The balance should be struck in column (15) at the close cash day. The monthly total of receipts and expenditure shall be struck at the end of each month.

(2)

In column (2) each transaction shall be assigned a serial number. There shall be one separate set of serial numbers for each calendar year.

(3)

If any amount is received from or paid to more than one subscriber at a time the amount paid to or received from each subscriber should be entered as a separate item.

(4)

If more than one amount is received from or paid to the subscriber at a time each amount paid to or received from the subscriber should be entered as separate item.

Form XVI

[See Section 23 and Rule 25]

Form of the receipt book to be maintained

{|

OriginalDuplicate

| Receipts

| Serial Number

|}

Received from.....to the credit of.....the amounts detailed below in respect of the chit agreement registered under number.....of.....19

Rs.

P.

Payment for current instalment Arrears of subscription (with details) Penalty for overdue subscription Fees for inspection of records other receipts (to be specified)

Total

(In words Rupees)

Paise

Date

for and on behalf of foreman

Note. - Strike out/delete whatever is not applicable. Insert the designation(s) as may be appropriate to the applicant.

Form XVII

[See Section 61 and Rule 45]

Application for reference of a Dispute to Arbitration.

The Registrar/Additional/Joint/Deputy/Assistant Registrar of Chits. Before

1.

NameAgeOccupationAddress

Disputants:

2.

NameAgeOccupationAddress

3.

NameAgeOccupationAddress

Versus

1.

NameAgeOccupationAddress

Opponents:

2.

NameAgeOccupationAddress

3.

NameAgeOccupationAddress

Here give full particulars of the claim or the facts of the use constituting the cause of action when it arose, etc.

The disputant/disputants prays/pray as under:.....

In support of the above claim or relief sought I/We enclosed documents and papers as per the list annexed hereto.

Date:

(Signed)

.....

Disputant/Disputants

I/We.....disputant/disputants declare that the fact stated above are true to the best of my/our knowledge and belief.

Date:

Signed (1)..... (2)..... (3)..... disputants

Filed in the office of.....on.....19

Note. - (1) In case there are more dispute opponents their names, address, ages and occupation should also be mentioned.

(2)

In disputes relating to monetary claims the disputants should state the precise amount claimed but where this cannot be exactly ascertained the disputants shall state the approximate amount claimed.

(3)

When the disputants foreman is a company/co-operative society or a partnership firm a copy of the resolution of its Board of Directors or as the case may be Managing Committee shall accompany the application.

Form XVIII

[See Section 71 and Rule 54]

(Proclamation to be issued at the time of the issue of a certificate)

In the case of immovable property.

Whereas.....(judgment creditor has obtained an award under Section 69 of the Chit Funds Act, 1982 (Central Act No. 40 of 1982

) for an amount of Rs.....against.....(Judgment debtor and proposes to execute the same by sale of the undermentioned property of the said judgment debtor and whereas the said judgment creditor has obtained a certificate, dated.....for execution of the award under Section 71 of the said Act.

Notice is hereby given that any private transfer or delivery of or encumbrance or charge on the property made or credited after the issue of the certificate shall be null and void against the said judgment creditor under Section 72 of the Act aforesaid.

Description of the Property

Date of award or order

Names of the Parties against whom award or order

has been passed and Certified under Section 71 has been issued

Survey No. or House No.

Name of the village or town etc.

Area Assessment or/other Taxes

Other description of the property such as boundaries etc.

Remarks

1
2
3
4
5
6
7

The notice shall be proclaimed at some place on or adjacent to such property by beat of drum or other customary mode and a copy of the said notice shall be fixed on a conspicuous part of the property and upon a conspicuous part of the village Chavadi and also where the property is land paying revenue to the State Government; in the office of the Collector of the District in which the land is situated.

Place :

Date :

Registrar of Chits

B. In the case of movable property a similar notice may be given with necessary changes as to the description of the property. A copy of the notice shall be delivered to the judgment-debtor.

Form XIX

Certificate for transfer of property

In the case of immovable property. - Whereas in execution of the award made under Section 69 of the Chit Funds Act, 1982 (Central Act

No. 40 of 1982

) in favour of.....(hereinafter referred to as the judgment-creditor) an order was passed on the.....day of.....19.....for sale of the undermentioned property of the person or persons (debtor/cum-debtors).

And, whereas, the Court/the Collector/Registrar of Chits is satisfied that the said property cannot be sold for want of

buyers.

It is hereby ordered that the right, title and interest of the debtor in the said property shall vest in the said judgment creditor and shall be delivered to him subject to the terms and conditions laid down in the schedule hereto annexed.

I. Description of Property

Survey No.

Area and assessment

Nature of right, title and interest of the defaulter

Details of encumbrances to which property is subjected

1

2

3

4

The Schedule

The said property is transferred to the judgment creditor in full/partial satisfaction of the amount due to him from the debtor.

Given under my hand and seal of the Court/Collector/Registrar this.....day of.....19

In the case of movable property Court/Collector/Registrar of Chits.

(The form shall be similar with necessary changes as regards the description and the delivery of the property).

Form XX

[See sub-rule (c) of Rule 2]

Form of letter of authority

I.....(name) who/am/is.....(designation) of M/s.....being a foreman of the chit series no registered under registration no..... hereby appoint Shri.....as my authorised representative to attend on my/our behalf in the matters connected with the above chit to produce account and documents and to receive on my/our behalf any notice or document issued and to take all necessary steps in the matters.

The said Shri.....is also hereby authorised to act on any behalf of the said in the said matter.

I/We agree to ratify all acts done by the said Shri.....in pursuance of this authority.

Place :

Signature :

Date :

Status :

Form XXI

[See Rule 28(2)]

Name of the Foreman:

(i)

Office where the bye-laws of the chit are registered.

(i)

Registration number and year of the bye-laws of the chit.

(ii)

Date of which the balance-sheet was prepared.

(ii)

Name of the Foreman.

(iii)

Number of instalments conducted till date of balance-sheet.

(iii)

Chit amount.

(iv)

Number of instalments.

I. Receipts and Expenditure

Receipt

Current year

Total including previous years

Expenditure

Current year

Total including previous year

1

2

3

4

5

6

Rs. p.

Rs. p.

Rs. p.

Rs. p.

Rs. p.

Rs. p.

1.

Subscription paid by the prized and non-prized subscribers.

1.

Prize amounts disbursed to prized subscribers.

2.

Receipts under dividend.

2.

Interest paid to subscribers.

3.

Interest realised from the subscribers.

3.

Amounts paid to defaulter non-prized subscribers.

4.

Contribution by substituted or assigned non-prized subscribers
in respect of dues defaulters.

4.

Amount contributed by Foreman for payment of the prize amount.

5.

Any other amount received from subscribers.

5.

Foreman's commission.

6.

Amount contributed by the Foreman for payment of prize amount.

6.

Amounts on account of interest realised for delayed payments
and forfeited dividend.

7.

Interest accrued from investments.

7.

Dividend paid.

8.

Other items (details to be annexed).

8.

Sinking Fund.

9.

Investments withdrawn.

9.

Other items (details to be annexed).

Grand total.....

Grand total Expenditure.....

10.

Investments made.....

Grand total:

II. Statement of Assets and Liabilities

Assets

Rs. p.

Liabilities

Rs. p.

1.

Amounts due on account of arrears of subscription due from
prized subscribers.

1.

Amounts paid by non-prized subscribers (including dividend).

2.

Amounts due from the subscribers including the Foreman towards
future subscriptions.

2.

Amounts due to non-prized defaulter subscribers.

3.

Interest due from defaulter subscribers.

3.

Arrears of prize amount due to prized subscribers.

4.

Investments in bank (including interest thereon).

4.

The amounts due to the Foreman towards contributions made by
him for payment of prize amount.

5.

Other items (details to be annexed).

5.

Other items (details to be annexed).

6.

Sinking Fund...

6.

Sinking Fund

Total

Total

III. Details of Investments Receipts

Rs. p.

1.

Investment made on account of the failure on the part of
prized subscribers to receive the prized amount due to them.

2.

Investment made on account of lump sum collection made from

defaulter prized subscribers.

3.

Amount deposited for payment to non-prized defaulter subscribers.

4.

Investment on account of other items of receipts of the chit (details to be annexed).

Total...

IV. Assessment of value of Investment

1. Investment in Pass Book Account Number.

2. * Amount due from the future instalments of the chit as per bonds etc. obtained for instalments of the chit including the arrears of Rs due on account of defaulting instalments from defaulters.

3. * Balance of contributions due from the Foreman on account of prize amount received by him.

* Particulars of documents to be entered here. Security offered by the Foreman, hypothecation bonds etc. executed under Section 20 and hypothecation bonds etc. obtained from the prized subscribers under Section 31 of the Act.

Note. - To facilitate audit of balance-sheets, the following statements of details should be annexed by the Foreman to be balance-sheet:-

(i)

Statement of details of receipts and expenditure for each instalment;

(ii)

of disbursement;

(iii)

of the prize amount in respect of each instalment; and

(iv)

Statement of details of arrears due on the date of the preparation of the balance-sheet from the prized and non-prized subscribers.

V. Certification By Foreman

I certify that the above accounts have been prepared correctly and that they contain a true and complete statement of the affairs of the chit.

Date :

Name and signature of the Foreman.

VI. Certificate By Auditor

Certified that I have examined the chit books and records maintained in respect of the chit.....the bye-laws of which have been registered in.....as number.....19....conducted by Foreman.....and have verified the entries in the accounts with the books. The accounts are drawn up in conformity with the provisions of the Chit Funds Act, 1982 and the Rules framed thereunder.

Date:

Seal:

Name and signature of the Auditor

Appendix II

[See Sections 62, 63 and Rule 42]

Levy of fees under Sections 62 and 63 of the Chit Funds Act, 1982

(Central Act

No. 40 of 1982

)

Table of Fees

Rs.

1.

For the application of previous sanction to commence or conduct a chit under sub-section (2) of Section 4.

25.00

2.

For filling a chit agreement under sub-section (1) of Section

7.

1.00

3.

For issue of certificate of commencement of chit business
under sub-section (2) of Section 9.

1.00

4.

For filing of a certificate under sub-section (2) of Section

10.

1.00

5.

For filing a copy of the minutes of the proceedings under
Section 17.

0.50

6.

For every application for registration of an alteration,
addition or omission of any provision in a chit agreement under
sub-rule (1) of rule 14.

3.00

7.

A fee of rupee one shall be levied in each case for filing
with the Registrar -

(a) a copy of each entry relating to the removal of defaulting
subscriber under sub-section (3) of Section 28.

(b) a true copy of each entry relating to the substitution of
a subscriber under sub-section (2) of Section 29.

(c) a true copy of entry relating to transfer of the rights of
the Foreman under Section 37.

(d) a copy of entry relating to transfer of non-prized
subscriber's rights under Section 37.

(e) a true copy of assent of non-prized subscribers and unpaid
prized subscribers for withdrawal of a Foreman under Section 41.

(f) a true copy of consent of all non-prized or unpaid
subscribers to the termination of chit under Section 41.

(g) each petition protesting against or objecting to the
orders passed or proposed to be passed by the Registrar.

8.

If the balance-sheet is audited under Section 24 or the chit
books and records inspected by the Registrar or any officer
authorised by the Registrar under Section 46 or the accounts
books and other records of the chit audited by the chit auditor
at the premises of the foreman or outside of the office of the
Registrar, for each such audit or inspection.

50.00

9.

For inspection of one or more records relating to a chit under
Section 62 for each inspection.

1.00

10.

For every 100 words or fraction thereof of a copy or extract of the records relating to a chit furnished under Section 62.

0.25

11.

For every 100 words or fraction thereof a certified copy of any order, judgement or award by the Registrar or his nominee under Section 69.

0.15

12.

For every appeal to the State Government under Section 74.

5.00

Related AI tags, queries and research notes

Translation